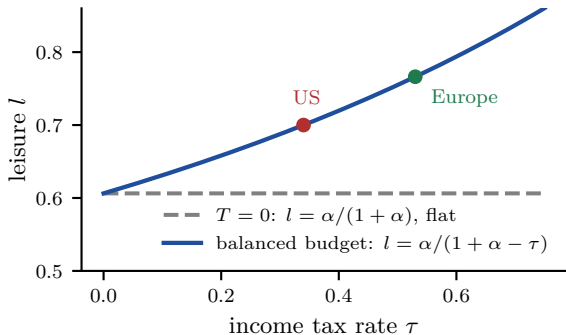


7.5 — Prescott's calculation, $\alpha = 1.54$, $w = 1$ ($\lambda = 0.896$, output gap 22.1%)

(c) taxes bite only once the revenue comes back as T



(d) decomposing the hours gap

